

Herds have no leaders. Even though gurus such as Elaine Garzarelli or Marty Zweig may trigger a minor stampede, they will not be at the head of the herd for long; their next pronouncement (or their silence) may well be ignored. Sometimes we may suspect that the market is conspiring against us at the behest of some diabolical Dr. No, but there is no such leader, only the reflection of ourselves.

Market herds, like zebra herds, can't run for long without tiring. I never worry if I am early or late with some trend. Rather than chase the herd, we can wait until it comes back by us again.

Some investors were so traumatized by the bear market of 1973–74 they swore off stocks for good. As Mark Twain's Pudd'n-head Wilson once warned, you can get too much out of experience: "The cat that sits down on a hot stove-lid will never sit down on a hot stove-lid again—and that is well. But also she will never sit down on a cold one anymore."

There was so little interest in the market in the mid-to-late seventies that the average daily volume on the New York Stock Exchange fell to 18.6 million shares in 1975 (today, 400-million-share days are considered quiet). Floor traders would pass the time playing pinochle. In five years the average P/E ratio of Nifty Fifty stocks we tracked had fallen from 48 to 13.5. The Inside Zebras had done a complete about-face. Which meant it was a time of extraordinary opportunity for Outside Zebras. When Warren Buffett was asked by *Forbes* in October 1974 how he felt about the market, he replied, "Like an oversexed guy in a whorehouse. This is the time to start investing."

He was right, of course, though a strong upturn didn't arrive un-